

Banks provide facility to maintain savings bank account for individuals and trusts. Banks allow interest for such accounts. In such cases, adjustments need to be made in bank reconciliation statement for interest allowed by the bank on savings bank account.

Points to remember

- Debit balance as per cash book is favourable
- Credit balance as per bank column of the cash book is an overdraft
- Debit balance as per bank statement is unfavourable
- Credit balance as per bank statement is favourable
- Bank reconciliation statement is prepared by the business entity
- The purpose of preparing bank reconciliation statement is to explain the causes of disagreement between balance as per bank column of cash book and bank statement
- Most of the differences are caused by differences in the time at which items are recorded.
- Some items cannot be recorded in the bank column of the cash book until the bank statement is received.

Self-examination questions



I Multiple choice questions

Choose the correct answer

1. A bank reconciliation statement is prepared by
   (a) Bank (b) Business
   (c) Debtor to the business (d) Creditor to the business

2. A bank reconciliation statement is prepared with the help of
   (a) Bank statement (b) Cash book
   (c) Bank statement and bank column of the cash book (d) Petty cash book

3. Debit balance in the bank column of the cash book means
   (a) Credit balance as per bank statement (b) Debit balance as per bank statement
   (c) Overdraft as per cash book (d) None of the above

4. A bank statement is a copy of
   (a) Cash column of the cash book (b) Bank column of the cash book
   (c) A customer's account in the bank's book (d) Cheques issued by the business

5. A bank reconciliation statement is prepared to know the causes for the difference between:
   (a) The balance as per the cash column of the cash book and bank column of the cash book
   (b) The balance as per the cash column of the cash book and bank statement
   (c) The balance as per the bank column of the cash book and the bank statement
   (d) The balance as per petty cash book and the cash book

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